

THE MARKET CHRONICLE

~BY CATALYST

NEWS

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Relaxation in Timelines for Holding AIF Investments in Demat Form :

SEBI amended the AIF Regulations on January 5, 2024, mandating AIFs to hold investments in dematerialized form. A subsequent circular on January 12, 2024 (later incorporated in Chapter 21 of the Master Circular dated May 7, 2024) prescribed implementation timelines.

The Key Highlight of the circular:

- From July 1, 2025, All AIF investments must be held in dematerialized form, whether acquired directly or from another entity. Investments made before this date must be dematerialized by October 31, 2025, as per specified conditions.
- However, this requirement does not apply to AIF schemes maturing (excluding extensions) by October 31, 2025, or those already in extended tenure as of February 14, 2025

https://www.sebi.gov.in/legal/circulars/feb-2025/relaxation-in-timelines-for-holding-aifs-investments-in-dematerialised-form_91919.html

PRO-RATA AND PARI-PASSU RIGHTS OF AIF INVESTORS (IVCA-SFA GUIDELINES)

With reference to the below mail, please find attached Implementation Standards for offering of differential rights to select investors of an AIF dated January 28, 2025 same can also be viewed on the PEVC CFO Association website

(<https://www.pevccfo.com/regulatory>) &
IVCA (<https://www.ivca.in/sebiupdates/pro-rata>)

The IFSCA (Fund Management) Regulations 2025 have been notified, introducing significant changes aimed at simplifying business operations and attracting more investments.

·**Reduced Minimum Corpus Requirements:** The minimum corpus for non-retail schemes has been lowered from USD 5 million to USD 3 million.

·**Extended PPM Validity:** The validity of the Private Placement Memorandum (PPM) has been increased to 12 months, providing fund managers with more time to raise capital.

·**Greater Flexibility in FME Contributions:** FMEs can now contribute up to 100% (subject to conditions) to non-retail schemes.

·**Simplified Categorization of AIF & FIF:** The regulations now offer clearer definitions for better understanding and classification.

·**Stronger Investor Protection:** Stricter rules have been implemented for related-party transactions, ensuring better investor safeguards.

·**Simplified KMP Appointments:** Prior approval for Key Managerial Personnel (KMP) appointments is no longer required. Instead, only intimation to IFSCA is needed. The KMP requirements have also been streamlined and expanded.

·**Support for PMS:** The minimum investment amount for Portfolio Management Services (PMS) has been reduced to USD 75,000.

·**Enhanced Operational Flexibility:** Fund managers now have greater flexibility for index, sectoral, thematic, and fund of funds schemes.

·**Global Expansion Opportunities:** FMEs are now allowed to open international branches or offices with only an intimation to IFSCA.



CATALYST'S 9TH ANNUAL OFFSITE: A CELEBRATION OF TEAM SPIRIT & EXCELLENCE

The much-anticipated 9th Annual Catalyst Offsite was nothing short of spectacular! Held at the serene Radisson Blu, Karjat, from February 7th to 9th, 2025, the event brought together over 175 team members for a weekend of camaraderie, recognition, and fun-filled activities.

The offsite kicked off with an inspiring session featuring our visionary leaders, Mr. Dilip Dixit and Mr. Umesh Salvi, who shared their invaluable insights on Catalyst's journey and future aspirations. The Annual Awards Night was the highlight of the event, celebrating outstanding achievements across the organization. The energy soared as the AIF Team proudly took home the prestigious Best Team of the Year Award, and individual excellence was recognized with the 5-Star Award, a testament to the unwavering dedication of our team members.

The following days were packed with exciting team-building activities, including a MasterChef Catalyst Challenge, a thrilling Scavenger Hunt, and a memorable Bonfire & Tambola Night under the stars. Each activity reinforced the spirit of collaboration and unity that defines Catalyst Trusteeship.

As the offsite came to a close, it was evident that this was more than just a corporate retreat—it was an opportunity to strengthen bonds, create lasting memories, and reaffirm our commitment to excellence. Here's to another year of growth, teamwork, and success!

DEALS OF THE MONTH

Sustainable Energy Infra Trust has successfully issued listed, secured non-convertible debentures totaling ₹750 crores, with Catalyst Trusteeship Limited serving as the Debenture Trustee for this transaction. The issuance was completed in early February.

Cube Highways Trust has successfully issued listed, secured non-convertible debentures totaling ₹1,460 crores in two tranches. Catalyst Trusteeship Limited has been appointed as the Debenture Trustee for this transaction, with Tranche 1 amounting to ₹860 crores and Tranche 2 to ₹600 crores.

HIGHLIGHTS OF THE MONTH:

Security Trustee deals:

Sectors	No. of Transaction	Facility Amount (Cr.)
Infrastructure Sector	2	6156
Renewable Sector	48	32918.19
NBFC	15	6128
Others	9	2779.16
Real Estate	9	3056
Grand Total	83	51037.35

Debenture Trustee deals:

Sector	Transaction count	Issue size (Rs. Crore)
Business	1	100.00
Finance	3	77.00
Hotel	1	1,050.00
Housing Finance	3	860.00
Infrastructure	1	1,500.00
Manufacturing	1	83.00
NBFC	20	1,961.00
Others	37	6,734.70
Pharma	1	200.00
Power	2	200.00
Real Estate	1	16.50
Steel	2	4,745.00
Grand Total	73	17,527.20

Securitization deals:

Asset Class	No. of Deals	Amount in Crores
Car Loans Receivables	1	52.00
Commercial Vehicle	1	19.00
Housing Loan	1	114.00
Invoice financing	1	37.00
loan against property	5	462.35
Microfinance Loan	15	4,171.60
Personal Loans	7	567.54
School Loans	1	37.00
Secured Business	3	327.29
Two-wheeler Loan	2	81.00
Unsecured Business	5	582.00
Vehicle Finance and	1	149.00
Grand Total	43	6,599.78

Type	No. of Deals	Amount in Crores
DA	17	5,006.11
PTC	26	1,593.67
Grand Total	43	6,599.78

AIF Trustee deals:

Sector/Asset Class/Category	No. of Deals/ Transactions/funds	Issue Size/Pool Size in Crores
AIF(Domestic)	8	2960
AIF(Gift City AIF)	3	6843
REIT	1	100
ESOP/EBT/Private	-	-

Thanks and Regards,
Editorial team of Catalyst.

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